


BITCOIN

Back in the Game

Bitcoin has surpassed \$60,000 for the first time in more than two years and is expected to sustain its upward trajectory with an upcoming halving of reward for mining Bitcoin in April

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► **FEBRUARY 28 MARKED** a significant moment for the popular crypto asset Bitcoin as it surged past \$60,000, achieving the milestone for the first time in more than two years. In November 2021, the price of Bitcoin skyrocketed to nearly \$69,000 (intra-day) but later plunged by half due to regulatory concerns and high interest rates, diminishing its appeal as an asset class.

The surge last time was driven by the liquidity in the world economy after governments eased monetary policy in the wake of Covid-19. However, this time around, the crypto

market has rallied due to factors like the expected rate cut by the US Federal Reserve, the increasing popularity of Bitcoin exchange-traded funds (ETFs), and the anticipation of Bitcoin halving in April.

The resurgence “signifies a pivotal moment in the crypto landscape,” says Raj Karkara, Chief Operating Officer (COO) of ZebPay, a crypto exchange. “It not only demonstrates the resilience of digital assets, but also underscores the growing mainstream acceptance of Bitcoin,” he says. “The approval of ETFs has played a significant role in expand-

ing the investor base, contributing to the positive sentiment,” he adds.

Bitcoin ETFs were listed on highly regulated US stock exchanges starting in January 2024. The listing has been well-received as the ETFs are subject to close supervision, adding an extra layer of protection for investors. Moreover, Bitcoin ETFs offer the benefit of investing in a robust and regulated market. This is important considering scandals in the past where many individuals lost their assets due to compromised wallets or sudden closure of companies.

The Bitcoin halving is another event that is generating a lot of excitement. It takes place every four years when the reward for Bitcoin mining is reduced by half. The purpose is to limit supply, so when the reward decreases, it positively impacts prices. There will only be 21 million Bitcoins, and nearly 19 million have already been mined.

Historically, halvings have driven Bitcoin prices to new highs. The first halving took place in November 2012, and in just over a year, the value of Bitcoin surged from \$13 to \$1,152 by December 2013. The second halving occurred in July 2016, leading again to a significant increase in Bitcoin price—from \$664 to \$17,760

STAGING A COMEBACK

- The Bitcoin price has surged 3.8 times since January 1, 2023
- It touched an all-time high of \$68,789* on November 10, 2021

